

In 2002, Capital One dropped from \$50 to \$30 in one day after the company announced it had reached an agreement with regulators to sharply increase its reserves against its subprime-laden loan portfolio and to improve its credit risk assessment procedures. The previous storyline had been that Capital One's long string of strong earnings was driven by its superior quantitative models for assessing subprime credit risk. Now, there was a serious question as to whether the company's impressive financials were more a product of fraudulent accounting than better risk modeling. A full-blown bull/bear battle ensued with some analysts claiming the company was a fraud and other analysts saying that the management team was totally above board and topnotch. The odds that the stock would still be near \$30 in two years seemed vanishingly small. Either the company would be vindicated or it would go under.

So either the stock is a zero or it is going much higher. Did you have a bias as to which scenario was more likely?

We did a ton of research. We did background checks on management. We spoke to people who had gone to college with the CEO because the essential question related to the ethical character of management. Although we were not a large investor, we were tenacious about getting access to the management team. We spoke to the chief risk officer, who not a lot of other people wanted to speak to, but for us, he was gold. We were particularly concerned that the biggest driver in their P&L was this one line item that was amalgamated as "securitization income." There was no visibility at all as to what went into this figure. We thought that if there was anything wrong with the company that was where it would be. Over time, the risk officer became quite comfortable talking to us. He spoke to us openly and did not seem at all like someone trying to spin a story.

What was the trade that you put on?

We thought buying the out-of-the-money calls provided the best way to express the trade because the potential bimodal outcome made a large price move much likelier than usual for the stock. Under these circumstances, the out-of-the-money calls were most mispriced and they had more embedded leverage. We were looking at buying the January